Registered number: 08419307

BLOOM AND WILD LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2024

COMPANY INFORMATION

Director	A G Gelbard
Registered number	08419307
Registered office	Unit W.301 1-45 Durham Street London SE11 5JH
Independent auditor	CLA Evelyn Partners Limited Chartered Accountants & Statutory Auditor 45 Gresham Street London EC2V 7BG

CONTENTS

STRATEGIC REPORT
FOR THE YEAR ENDED 31 MARCH 2024

Introduction

The directors present their Strategic Report for the year ended 31 March 2024.

Highlights

Revenues £82m

*Adjusted EBITDA £8.5m

Business review

The principal activity of the Company during the period was, and continues to be, that of online flower and plant gifting whilst also offering additional non horticultural products. In FY24 the Company delivered to the UK, Ireland, Germany and Austria.

A detailed business review for the year can be found in the consolidated accounts of Bloom and Wild Holdings Limited. Bloom and Wild Holdings Ltd is the ultimate parent company for the Bloom and Wild Group and operates the group's international businesses alongside Bloom and Wild Ltd.

The turnover for the year to 31 March 2024 amounted to £81,950,717 *(2023 - £83,291,885)*. The Company is profitable at both EBITDA with profits of £6.6m *(2023 - £0.05m)* and adjusted EBITDA with profits of £8.5m *(2023 - £1.8m)*.

* Adjusted EBITDA is a performance measure which consists of profit before interest, tax, depreciation, amortisation and employee share option charges.

Principal risks and uncertainties

The principal risks to the business are disruption to operations and supply chain, the health of the economies in which it operates, data protection and technology security, brand reputation and the competitive environment.

Operations and supply chain disruption
The Company is an online gifting business with the majority of its sales being flowers. These are grown and sourced globally and packed and arranged at both third-party providers and at in-house operational centres, before being delivered by third party logistics companies. There is a risk of disruption at any point in the supply chain which, without action, could result in the failure to deliver the product and loss of revenue. This risk is mitigated by numerous contingency plans at all stages in the process, meaning that if any section of the chain is broken, the Company would typically still be able to fulfil the order. The FY2022 acquisitions made by Bloom and Wild Holdings Limited have further diversified the supply chain thereby significantly mitigating operational risk.

Economic health
The Company is affected by the health of the economies in the territories in which it operates. The majority of revenue in FY24 was made in the UK, so it is particularly exposed to the health of the UK economy. This risk is partially mitigated by the decreased reliance on one location for revenue as the Company has scaled both organically and inorganically across Europe, careful treasury management and flexibility in the cost base, which can be adjusted at pace in the event of an economic downturn. These levers were successfully used in FY24 following the deterioration in the macroeconomic climate to return the business to profitability in the year.

Data protection and technology security
There is a risk of a cyber event leading to the theft of company or customer information, as well as interruptions to trading. These risks are mitigated by a risk management framework, overseen by the Technology team.

Brand reputation
The Company"s business is reliant on the strength of the Bloom & Wild brand. Any damage to these or the corporate brand directly or indirectly could adversely impact trading and the future trajectory. This risk is mitigated by careful management of and investment in brand communications, high attention to detail to the customer experience that makes the brand well loved, as well as a strong commitment to being a responsible corporate citizen in all activities.

Competitive environment
The Company operates predominantly in the online flower and plant gifting and subscriptions market. There are a large number of competitors and changes to the competitive environment may reduce demand for Company"s products. This risk is mitigated by the Company's scale, strong brand, as noted above, as well as deployment of proprietary technology and data solutions that support an excellent customer experience, as evidenced by industry-leading NPS scores.

Financial key performance indicators

The Company continually tracks and reports on a large number of financial and non-financial key performance indicators, which are reported company wide daily, weekly and monthly. The key financial performance indicators for the year were as follows:

	FY24	FY23	FY22	FY21	FY20
Revenue £m	82.0	83.3	107.2	140.4	47.2
Gross profit margin	49%	42%	44%	48%	43%
Adjusted EBITDA *£m	8.5	1.8	2.2	26.9	(1.6)
EBITDA £m	6.6	0.05	1.2	26.7	(1.8)
Operating profit/(loss)	4.6	(1.8)	(0.3)	25.9	(2.2)
Profit/(loss) after tax £m	6.1	(0.8)	2.3	22.2	(1.0)

Director's statement of compliance with duty to promote the success of the Company

This section aims to address how the director of the Company has acted in good faith and promoted its success as a whole. In 2023/2024 the director has engaged with different stakeholders through different forums and mediums ranging from direct interactions to indirect interactions and continued to exercise all of his duties, while being committed to all the matters set out in section 172(1) (a) to (f) of the Companies Act 2006.

The board has identified its key stakeholders as its customers, employees, investors, suppliers and the communities in which it operates. The directors and senior management team of Bloom & Wild Limited give careful consideration to the factors set out below in discharging their duties.

Decision making
From the director and senior management team to all employees within the Company, decision making within the business is always taken with promoting the success of the business in mind. An overall strategic view and plan is set at the parent company board level. This is then distilled into objectives and key performance metrics required to fulfil the strategy. These are monitored closely by senior management throughout the year and adjusted accordingly

Customers
Customers are key to every decision made at Bloom & Wild, as evidenced by industry-leading NPS scores. They are at the heart of how new offerings are developed and where investments in current offerings are made. The Company's Research team regularly gathers insights from current and potential customers through surveys, focus groups and by evaluating how users interact with products and services. In addition, feedback is gained through customer service teams, making use of technology and AI to aggregate and theme this feedback, helping to identify actions to take in real time as needed. The customer delight team is empowered to resolve customer queries in the most delightful manner possible. The team continues to receive extremely high "CSAT" (customer satisfaction) scores and there is excellent ROI on their efforts, which support strong repeat rates.

Recipients
The Company wants every recipient of a Bloom & Wild product to have a memorably brilliant experience. It understands how important each delivery is to the sender and the positive impact it can have on the recipient. Furthermore, delivering excellent recipient experience drives virality, as recipients become customers. Recipient experience is supported by investing in the quality of products and maintaining strict quality controls, by developing a thoughtful and sustainable unboxing experience and by offering detailed care instructions for flowers and plants. The customer delight team also support recipient queries in their signature delightful manner.

Employees
The Company has developed a diverse, inclusive and highly skilled team across all departments and sees high employee retention and engagement scores. It continues to invest in the professional development of the team and in the attraction and retention of employees. There is a good flow of communication with employees in various forums is ensured, including weekly stand-ups, monthly full company meetings and regular employee satisfaction surveys.

Suppliers
Creating, maintaining and fostering strong key relationships with suppliers is a cornerstone of the business. The Company continues to have a fair tendering and selection process for new contracts, timely payments of invoices and an easy invoice submission process. It should be noted also that a holistic approach is taken to the tender process for new suppliers. The Company will not always seek the most economic supplier, rather it looks beyond the price and considers overall quality of the product the supplier will provide as well as their business practices.

Impact on community and environment
During FY24, the Group of which Bloom and Wild Limited is part of, achieved a B Corp certification with a score of 106.5 points vs a threshold requirement of 80 points.

Bloom & Wild takes seriously its responsibility to the wider community it serves. During this financial year it continued to support charitable organisations across the countries in which it operates. In the UK, an innovation fund was launched together with Rewilding Britain, a key charity partner which supports their ongoing focus on sustainability, whilst continuing to donate to Blueprint for All, LGBT Foundation and Carers Trust. In Germany the Company continued to work with Die Tafel, who support over two million people through food banks.

The Company continues to measure, report and offset its carbon footprint as well as work on initiatives to reduce carbon intensity over time. In particular, inroads have been made with a pilot to ship flowers via sea rather than air, which reduces 90% of upstream transportation emissions per stem. The security situation in the Red Sea has halted good initial progress in Kenya, though work is still progressing, particularly in Colombia and Costa Rica. The Group is on track to achieve net zero by 2045 and halve emissions by 2030. Prioritising recyclable and circular packaging wherever possible remains a focus, good growing practices, lower emission deliveries and keeping waste to an absolute minimum.

Soil association certification for Bloom & Wild's organic bouquet was achieved in the UK. The Company sponsors NGOs such as Rewilding Britain in the UK. In the UK, the range of more sustainable products has continued, including plant pots made from ocean plastics and scaled the T.L.C. plants range, preventing plants that don't pass standard quality control from going to waste. Further information on the Company's sustainability practices and details of its net zero pathway are available on the website at bloomandwild.com/sustainability.

This report was approved by the board and signed on its behalf.

Aron Gelbard (Nov 14, 2024 17:54 GMT)

A G Gelbard
Director

Date: 14/11/2024

DIRECTOR'S REPORT
FOR THE YEAR ENDED 31 MARCH 2024

The director presents his report and the financial statements for the year ended 31 March 2024.

Results and dividends

The profit for the year, after taxation, amounted to £6,117,544 *(2023 - loss £765,862)*.

During the year, dividends of £Nil *(2023 - £Nil)* were paid.

Director

The director who served during the year was:

A G Gelbard

Future developments

Looking forward, the Company plans to build on its success to date whilst keeping its core values at the heart of all decisions made. The key strategic priorities for FY25 are:

- Accelerating growth of non-flower gifting in the UK and Germany by building awareness and expanding product range.
- Continue to develop our German market.
- Building on early success of the Rewards programme by scaling enrolment in the UK.
- Further optimising operations and technology to create even more efficiency across the supply chain, production and fulfilment operations.
- Investing in product-led growth through differentiating the web and app experiences and embedding meaningful drivers of revenue growth through driving virality.
- Continuing to lead the industry on the transition to net zero. Key initiatives include further ramping up of sea freight to replace air freight on certain stems, sourcing and designing all bouquets across the Company to a carbon budget and scaling the fairtrade and organic offerings.

More details on the future developments of the business can be found in the consolidated report and accounts of Bloom and Wild Holdings Limited.

Greenhouse gas emissions, energy consumption and energy efficiency action

Full details of our reporting on energy use and carbon emissions in line with the Streamlined Energy and Carbon Reporting (SECR) requirements can be found in the consolidated accounts of Bloom and Wild Holdings Limited.

In accordance with The Companies (Directors' Report) and Limited Liability Partnerships (Energy and Carbon Report) Regulations 2018 applicable to large limited companies, the data presented in this report is for all operations throughout the extensive supply chain.

Disclosure of information to auditor

The director at the time when this Director's Report is approved has confirmed that:

- so far as he is aware, there is no relevant audit information of which the Company's auditor is unaware, and
- he has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

DIRECTOR'S REPORT (CONTINUED)
FOR THE YEAR ENDED 31 MARCH 2024

Post balance sheet events

There have been no significant events affecting the Group since the year end.

Auditor

The auditor, CLA Evelyn Partners Limited, will be proposed for reappointment in accordance with section 485 of the Companies Act 2006.

This report was approved by the board and signed on its behalf.

Aron Gelbard (Nov 14, 2024 17:54 GMT)

A G Gelbard
Director

Date: 14/11/2024

DIRECTOR'S RESPONSIBILITIES STATEMENT FOR THE YEAR ENDED 31 MARCH 2024

The director is responsible for preparing the Strategic Report, the Director's Report and the financial statements in accordance with applicable law and regulations.

Company law requires the director to prepare financial statements for each financial year. Under that law the director has elected to prepare the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. Under company law the director must not approve the financial statements unless he is satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the director is required to:

- select suitable accounting policies for the Company's financial statements and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The director is responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and to enable him to ensure that the financial statements comply with the Companies Act 2006. He is also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the United Kingdom governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

evelyn PARTNERS

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF BLOOM AND WILD LIMITED

Opinion

We have audited the financial statements of Bloom and Wild Limited (the 'Company') for the year ended 31 March 2024 which comprise the Statement of Comprehensive Income, the Balance Sheet, the Statement of Changes in Equity and the notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" (United Kingdom Generally Accepted Accounting Practice).

In our opinion, the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2024 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the director's use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the director with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the Annual Report and Financial Statements, other than the financial statements and our auditor's report thereon. The director is responsible for the other information contained within the Annual Report and Financial Statements. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and the Director's Report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and the Director's Report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report or the Director's Report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of director's remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the Director's Responsibilities Statement set out on page 7, the director is responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the director determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the director is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the director either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

In the context of the audit, we considered those laws and regulations which determine the form and content of the financial statements and which are central to the Company's ability to conduct its business and where failure to comply could result in material penalties. The Company must abide by the Companies Act 2006 and FRS 102 in respect of the preparation and presentation of the financial statements. Aside from this, we did not identify any specific laws and regulations as being of significance in the context of the Company.

We performed the following specific procedures to gain evidence about compliance with the significant laws and regulations identified above:

- We enquired with the Company's management as to the existence of litigation and no material items were identified; and
- We obtained written management representations regarding disclosure of any non-compliance with laws and regulations.

The senior statutory auditor led a discussion with senior members of the engagement team regarding the susceptibility of the entity's financial statements to material misstatement, including how fraud might occur. The key areas identified as part of the discussion were with regard to the manipulation of the financial statements through manual journals, incorrect recognition of revenue, particularly in relation to cut-off and significant estimates used by management.

Audit procedures performed by the engagement team on the areas where fraud might occur included:

- Evaluation of the design effectiveness of management's controls designed to prevent and detect irregularities;
- Testing journal entries, selected based on specific risk assessments applied based on client processes and controls surrounding manual journals;
- Testing a sample of revenue transactions to underlying documentation, both throughout the year and around the year-end date; and
- Understanding and challenging the basis for management estimates.

The senior statutory auditor was satisfied that the engagement team collectively had the appropriate competence and capabilities to identify or recognise irregularities.

A further description of our responsibilities is available on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Nicholas Jacques
Nicholas Jacques (Nov 15, 2024 11:37 GMT)

Nicholas Jacques (Senior Statutory Auditor)

for and on behalf of
CLA Evelyn Partners Limited

Chartered Accountants
Statutory Auditor

45 Gresham Street
London
EC2V 7BG
Date: 15/11/2024

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 MARCH 2024

	Note	2024 £	*2023* *£*
Turnover	4	81,950,717	*83,291,885*
Cost of sales		(42,157,203)	*(47,968,864)*
Gross profit		39,793,514	*35,323,021*
Distribution costs		(5,312,575)	*(4,747,042)*
Administrative expenses		(30,232,370)	*(33,012,204)*
Other operating income	5	340,349	*613,743*
Operating profit/(loss)	6	4,588,918	*(1,822,482)*
Interest receivable and similar income	10	1,723,319	*681,723*
Interest payable and similar expenses	11	(37,539)	*(279,007)*
Profit/(loss) before taxation		6,274,698	*(1,419,766)*
Tax on profit/(loss)	12	(157,154)	*653,904*
Profit/(loss) for the financial year		6,117,544	*(765,862)*

There was no other comprehensive income for 2024 *(2023 - £Nil)*.

The notes on pages 16 to 38 form part of these financial statements.

BALANCE SHEET
AS AT 31 MARCH 2024

	Note		2024 £		2023 £
Fixed assets					
Intangible assets	13		2,534,161		*1,677,688*
Tangible assets	14		1,039,876		*1,370,549*
Investments	15		21,525		*21,525*
			3,595,562		*3,069,762*
Current assets					
Stocks	16	1,829,454		*2,510,132*	
Debtors	17	44,550,305		*33,365,313*	
Investments	18	11,279,750		*-*	
Cash at bank and in hand	19	12,272,577		*35,019,394*	
		69,932,086		*70,894,839*	
Creditors: amounts falling due within one year	20	(56,398,239)		*(65,284,022)*	
Net current assets			13,533,847		*5,610,817*
Total assets less current liabilities			17,129,409		*8,680,579*
Provisions for other liabilities	23	(422,485)		*-*	
Net assets			16,706,924		*8,680,579*
Capital and reserves					
Called up share capital	24		1		*1*
Share premium account	25		713,048		*713,048*
Profit and loss account	25		15,993,875		*7,967,530*
Shareholders' funds			16,706,924		*8,680,579*

BALANCE SHEET (CONTINUED)
AS AT 31 MARCH 2024

The financial statements were approved and authorised for issue by the board and were signed on its behalf by:

Aron Gelbard (Nov 14, 2024 17:54 GMT)

A G Gelbard
Director

Date: 14/11/2024

The notes on pages 16 to 38 form part of these financial statements.

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2024

	Called up share capital	Share premium account	Profit and loss account	Total equity
	£	£	£	£
At 1 April 2022	1	713,048	7,010,837	7,723,886
Comprehensive income for the year				
Loss for the year	-	-	(765,862)	(765,862)
Contributions by and distributions to owners				
Equity settled share-based payments	-	-	1,722,555	1,722,555
At 1 April 2023	1	713,048	7,967,530	8,680,579
Comprehensive income for the year				
Profit for the year	-	-	6,117,544	6,117,544
Contributions by and distributions to owners				
Equity settled share-based payments	-	-	1,908,801	1,908,801
At 31 March 2024	1	713,048	15,993,875	16,706,924

1. General information

Bloom and Wild Limited is a private company, limited by shares, domiciled and incorporated in England and Wales (registered number: 08419307). The registered office address is Unit W.301, 1-45 Durham Street, London, SE11 5JH.

2. Accounting policies

2.1 Basis of preparation of financial statements

The financial statements have been prepared under the historical cost convention unless otherwise specified within these accounting policies and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise judgement in applying the Company's accounting policies (see note 3).

The following principal accounting policies have been applied:

2.2 Financial Reporting Standard 102 - reduced disclosure exemptions

The Company has taken advantage of the following disclosure exemptions in preparing these financial statements, as permitted by the FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland":

- the requirements of Section 7 Statement of Cash Flows;
- the requirements of Section 3 Financial Statement Presentation paragraph 3.17(d);
- the requirements of Section 33 Related Party Disclosures paragraph 33.7.

This information is included in the consolidated financial statements of Bloom and Wild Holdings Limited as at 31 March 2024 and these financial statements may be obtained from Companies House.

2.3 Going concern

The Company meets its day to day working capital requirements through its own cash balances and from funding from the group. The Company has received written confirmation from Bloom and Wild Holdings Limited that it will continue to provide financial support for a period of at least 12 months from the signing date of these financial statements.

In carrying out their duties in respect of going concern, the directors have reviewed the group's forecast cash flows, borrowing facilities and expected operational activities of the group. The forecasts demonstrate that the group has sufficient cash reserves and available headroom under its borrowing facilities to pay all debts as they fall due and is forecast to remain in compliance with the terms of its borrowing facilities for a period of at least 12 months from the date of signing of these financial statements.

As such the directors believe that the Company has adequate resources to continue to operate for the foreseeable future and thus consider it appropriate to adopt the going concern basis of accounting in preparing these financial statements.

2. Accounting policies (continued)

2.4 Foreign currency translation

Functional and presentation currency

The Company's functional and presentational currency is GBP.

Transactions and balances

Foreign currency transactions are translated into the functional currency using the spot exchange rates at the dates of the transactions.

At each period end foreign currency monetary items are translated using the closing rate. Non-monetary items measured at historical cost are translated using the exchange rate at the date of the transaction and non-monetary items measured at fair value are measured using the exchange rate when fair value was determined.

2.5 Turnover

Turnover is recognised to the extent that it is probable that the economic benefits will flow to the Company and the turnover can be reliably measured. Turnover is measured as the fair value of the consideration received or receivable, excluding discounts, rebates, value added tax and other sales taxes. The following criteria must also be met before turnover is recognised:

Sale of goods

Turnover from the sale of goods is recognised when all of the following conditions are satisfied:

- the Company has transferred the significant risks and rewards of ownership to the buyer;
- the Company retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;
- the amount of turnover can be measured reliably;
- it is probable that the Company will receive the consideration due under the transaction; and
- the costs incurred or to be incurred in respect of the transaction can be measured reliably.

The director deems this to be when the goods are delivered to the customer.

Rendering of services

Turnover from a contract to provide services is recognised in the period in which the services are provided in accordance with the stage of completion of the contract when all of the following conditions are satisfied:

- the amount of turnover can be measured reliably;
- it is probable that the Company will receive the consideration due under the contract;
- the stage of completion of the contract at the end of the reporting period can be measured reliably; and
- the costs incurred and the costs to complete the contract can be measured reliably.

2. Accounting policies (continued)

2.6 Operating leases: the Company as lessee

Rentals paid under operating leases are charged to profit or loss on a straight-line basis over the lease term.

2.7 Research and development

In the research phase of an internal project it is not possible to demonstrate that the project will generate future economic benefits and hence all expenditure on research shall be recognised as an expense when it is incurred. Intangible assets are recognised from the development phase of a project if and only if certain specific criteria are met in order to demonstrate the asset will generate probable future economic benefits and that its cost can be reliably measured. The capitalised development costs are subsequently amortised on a straight-line basis over their useful economic lives, which range from 3 to 4 years.

If it is not possible to distinguish between the research phase and the development phase of an internal project, the expenditure is treated as if it were all incurred in the research phase only.

2.8 Intangible assets

Intangible assets are initially recognised at cost. After recognition, under the cost model, intangible assets are measured at cost less any accumulated amortisation and any accumulated impairment losses.

All intangible assets are considered to have a finite useful life. If a reliable estimate of the useful life cannot be made, the useful life shall not exceed ten years.

The estimated useful lives range as follows:

Software development	-	3 years

2. Accounting policies (continued)

2.9 Tangible fixed assets

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Depreciation is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, using the straight-line method.

Depreciation is provided on the following basis:

Leasehold improvements	-	25%
Factory plant and machinery	-	25%
Retail fixed assets	-	50%
Fixtures, fittings & equipment	-	25%
Computer equipment	-	33%
Cycle to work scheme equipment	-	50%

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted prospectively if appropriate, or if there is an indication of a significant change since the last reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised in profit or loss.

2.10 Valuation of investments

Investments in subsidiaries are measured at cost less accumulated impairment.

2.11 Stocks

Stocks are stated at the lower of cost and net realisable value, being the estimated selling price less costs to complete and sell. Cost is based on the cost of purchase on a first in, first out basis. Work in progress and finished goods include labour and attributable overheads.

At each balance sheet date, stocks are assessed for impairment. If stock is impaired, the carrying amount is reduced to its selling price less costs to complete and sell. The impairment loss is recognised immediately in profit or loss.

2.12 Cash and cash equivalents

Cash is represented by cash in hand and deposits with financial institutions repayable without penalty on notice of not more than 24 hours. Cash equivalents are highly liquid investments that mature in no more than three months from the date of acquisition and that are readily convertible to known amounts of cash with insignificant risk of change in value.

2. Accounting policies (continued)

2.13 Pensions

Defined contribution pension plan

The Company operates a defined contribution plan for its employees. A defined contribution plan is a pension plan under which the Company pays fixed contributions into a separate entity. Once the contributions have been paid the Company has no further payment obligations.

The contributions are recognised as an expense in profit or loss when they fall due. Amounts not paid are shown in accruals as a liability in the Balance Sheet. The assets of the plan are held separately from the Company in independently administered funds.

2.14 Short-term deposit investments

Short-term deposit investments represent deposits with financial institutions that do not meet the criteria for cash and cash equivalents and have a maturity greater than three months.

2.15 Provisions for liabilities

Provisions are recognised when an event has taken place that gives rise to a legal or constructive obligation, a transfer of economic benefits is probable and a reliable estimate can be made.

Provisions are measured as the best estimate of the amount required to settle the obligation, taking into account the related risks and uncertainties.

Increases in provisions are generally charged as an expense to profit or loss.

2. Accounting policies (continued)

2.16 Financial instruments

Financial assets and financial liabilities are recognised in the Balance Sheet when the Company becomes a party to the contractual provisions of the instrument.

Trade and other debtors and creditors are classified as basic financial instruments and measured on initial recognition at transaction price. Debtors and creditors are subsequently measured at amortised cost using the effective interest rate method. A provision is established when there is objective evidence that the Company will not be able to collect all amounts due.

Cash and cash equivalents are classified as basic financial instruments and comprise cash in hand and at bank, short-term bank deposits with an original maturity of three months or less and bank overdrafts which are an integral part of the Company's cash management.

Financial liabilities and equity instruments issued by the Company are classified in accordance with the substance of the contractual arrangements entered into and the definitions of a financial liability and an equity instrument. An equity instrument is any contract that evidences a residual interest in the assets of the Company after deducting all of its liabilities. Equity instruments issued by the Company are recorded at the proceeds received, net of direct issue costs.

Interest bearing bank loans, overdrafts and other loans which meet the criteria to be classified as basic financial instruments are initially recorded at the present value of cash payable to the bank, which is ordinarily equal to the proceeds received net of direct issue costs. These liabilities are subsequently measured at amortised cost, using the effective interest rate method.

2.17 Share-based payments

Where share options are awarded to employees, the fair value of the options at the date of grant is charged to profit or loss over the vesting period. Non-market vesting conditions are taken into account by adjusting the number of equity instruments expected to vest at each balance sheet date so that, ultimately, the cumulative amount recognised over the vesting period is based on the number of options that eventually vest. Market vesting conditions are factored into the fair value of the options granted. The cumulative expense is not adjusted for failure to achieve a market vesting condition.

Where the terms and conditions of options are modified before they vest, the increase in the fair value of the options, measured immediately before and after the modification, is also charged to profit or loss over the remaining vesting period.

Where equity instruments are granted to persons other than employees, profit or loss is charged with fair value of goods and services received.

Fair value is measured by use of the Black Scholes pricing model. The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transfer ability, exercise restrictions and behaviour considerations.

2. Accounting policies (continued)

2.18 Current and deferred taxation

The tax expense for the year comprises current and deferred tax. Tax is recognised in profit or loss except that a charge attributable to an item of income and expense recognised as other comprehensive income or to an item recognised directly in equity is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the balance sheet date in the countries where the Company operates and generates income.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the balance sheet date, except that:

- The recognition of deferred tax assets is limited to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits; and
- Any deferred tax balances are reversed if and when all conditions for retaining associated tax allowances have been met.

Deferred tax balances are not recognised in respect of permanent differences except in respect of business combinations, when deferred tax is recognised on the differences between the fair values of assets acquired and the future tax deductions available for them and the differences between the fair values of liabilities acquired and the amount that will be assessed for tax. Deferred tax is determined using tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

3. Judgements in applying accounting policies and key sources of estimation uncertainty

In the application of the Company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

Capitalisation of software development costs
The capitalisation of staff costs within intangible assets requires judgement as to whether staff costs meet the criteria for capitalisation and the proportion of staff costs to capitalise. In the year ended 31 March 2024, staff costs of £2,142,889 *(2023 - £1,216,585)* were capitalised within intangible assets.

Share-based payments
Estimates have been made to value the equity settled share-based payments recognised through the issuance of share options during the period. The key assumptions used centre on the volatility associated with the share price and the time to maturity, when the options become exercisable.

Recoverability of intra-group loans
We believe that all intercompany loans due to the Company are recoverable and as such no write down of these balances is required.

4. Turnover

An analysis of turnover by class of business is as follows:

	2024 £	*2023* *£*
Sales of goods to external customers	80,589,337	*83,291,885*
Intercompany sales	1,361,380	*-*
	81,950,717	*83,291,885*

The analysis of turnover by destination has not been disclosed as in the opinion of the director the disclosure of this information would be prejudicial to the interests of the Company.

5. Other operating income

	2024 £	*2023* *£*
Other operating income	340,349	*613,743*

This amount reflects the gross estimated credit repayable to the Company in respect of qualifying R&D expenditure.

6. Operating profit/(loss)

The operating profit/(loss) is stated after charging/(crediting):

	2024 £	*2023* *£*
Research & development charged as an expense	18,096	*86,308*
Exchange differences	154,765	*(485,638)*
Operating lease rentals	867,850	*503,860*
Depreciation of tangible fixed assets	700,021	*877,091*
Amortisation of intangible assets	1,286,416	*994,765*

7. Auditor's remuneration

During the year, the Company obtained the following services from the Company's auditor and its associates:

	2024 £	*2023* *£*
Fees payable to the Company's auditor and its associates for the audit of the Company's financial statements	58,914	*56,648*

The company has taken advantage of the exemption not to disclose amounts paid for non-audit services as these are disclosed in the consolidated accounts of the parent company.

8. Employees

Staff costs, including director's remuneration, were as follows:

	2024 £	*2023* *£*
Wages and salaries	12,963,185	*10,633,490*
Social security costs	1,365,523	*1,580,662*
Cost of defined contribution scheme	223,291	*215,609*
	14,551,999	*12,429,761*

The average monthly number of employees, including the director, during the year was as follows:

	2024 No.	*2023* *No.*
Operations and Management	110	*121*
Technology and Data	67	*71*
Administration	30	*25*
	207	*217*

9. Director's remuneration

	2024 £	*2023* *£*
Director's emoluments	220,387	*202,252*

The highest paid director received remuneration of £220,387 *(2023 - £202,252).*

10. Interest receivable and similar income

	2024 £	*2023* *£*
Bank interest receivable	470,610	-
Intercompany interest receivable	1,252,709	*681,723*
	1,723,319	*681,723*

11. Interest payable and similar expenses

	2024 £	*2023* *£*
Bank interest payable	37,539	*279,007*

12. Taxation

	2024 £	*2023* *£*
Corporation tax		
Current tax on profits for the year	257,531	*-*
Adjustments in respect of previous periods	-	*(64,944)*
	257,531	*(64,944)*
Total current tax	257,531	*(64,944)*
Deferred tax		
Origination and reversal of timing differences	185,999	*(569,553)*
Changes to tax rates	-	*(19,407)*
Adjustments in respect of prior periods	(286,376)	*-*
Total deferred tax	(100,377)	*(588,960)*
Tax on profit/(loss)	157,154	*(653,904)*

12. Taxation (continued)

Factors affecting tax charge for the year

The tax assessed for the year is lower than *(2023 - lower than)* the standard rate of corporation tax in the UK of 25% *(2023 - 19%)*. The differences are explained below:

	2024 £	*2023* *£*
Profit/(loss) on ordinary activities before tax	6,274,698	*(1,419,766)*
Profit/(loss) on ordinary activities multiplied by standard rate of corporation tax in the UK of 25% (2023 - 19%)	1,568,675	*(269,756)*
Effects of:		
Expenses not deductible for tax purposes, other than goodwill amortisation and impairment	120,235	*5,547*
Capital allowances for year in excess of depreciation	15,909	*6,566*
Adjustments to tax charge in respect of prior periods	-	*(64,944)*
Other timing differences leading to an increase (decrease) in taxation	(505,447)	*(180,738)*
Non-taxable income	(44)	*-*
Adjustment for long accounting periods leading to an increase (decrease) in the tax charge	-	*(19,407)*
Adjustment in research and development tax credit leading to an increase (decrease) in the tax charge	-	*(86,222)*
Adjustment to tax charge in respect of previous period - deferred tax	(286,376)	*-*
Changes in provisions leading to an increase (decrease) in the tax charge	-	*(44,950)*
Group relief	(755,798)	*-*
Total tax charge for the year	157,154	*(653,904)*

Factors that may affect future tax charges

There are no factors which may effect future tax changes.

13. Intangible assets

	Patents, trademarks & licences £	Software development £	Total £
Cost			
At 1 April 2023	690	3,969,013	3,969,703
Additions	-	2,142,889	2,142,889
At 31 March 2024	690	6,111,902	6,112,592
Amortisation			
At 1 April 2023	690	2,291,325	2,292,015
Charge for the year	-	1,286,416	1,286,416
At 31 March 2024	690	3,577,741	3,578,431
Net book value			
At 31 March 2024	-	2,534,161	2,534,161
At 31 March 2023	-	*1,677,688*	*1,677,688*

14. Tangible fixed assets

	Leasehold improvements £	Factory plant and machinery £	Fixtures, fittings & equipment £	Total £
Cost				
At 1 April 2023	117,885	2,449,274	1,097,613	3,664,772
Additions	26,556	145,433	224,014	396,003
Disposals	-	(94,316)	(2,041)	(96,357)
At 31 March 2024	144,441	2,500,391	1,319,586	3,964,418
Depreciation				
At 1 April 2023	30,379	1,468,104	795,740	2,294,223
Charge for the year	32,982	450,810	216,229	700,021
Disposals	-	(67,661)	(2,041)	(69,702)
At 31 March 2024	63,361	1,851,253	1,009,928	2,924,542
Net book value				
At 31 March 2024	81,080	649,138	309,658	1,039,876
At 31 March 2023	*87,506*	*981,170*	*301,873*	*1,370,549*

15. Fixed asset investments

	Investments in Bloom and Wild GmbH £
Cost	
At 1 April 2023	**21,525**
At 31 March 2024	**21,525**

Subsidiary undertaking

The following was a subsidiary undertaking of the Company:

Name	Registered office	Class of shares	Holding
Bloom and Wild GmbH	Marie-Curie-Strasse 13, 59192 Bergkamen, Germany	Ordinary	100%

16. Stocks

	2024 £	*2023 £*
Finished goods and goods for resale	**1,829,454**	*2,510,132*

17. Debtors

	2024 £	*2023* *£*
Due after more than one year		
Other debtors	275,400	*215,679*

	2024 £	*2023* *£*
Due within one year		
Trade debtors	358,845	*2,113,853*
Amounts owed by group undertakings	39,820,067	*27,084,692*
Other debtors	324,670	*110,461*
Prepayments and accrued income	1,975,888	*1,854,424*
Deferred taxation	1,172,597	*1,251,050*
Corporation tax repayable	622,838	*735,154*
	44,274,905	*33,149,634*

Amounts owed from group undertakings are unsecured, repayable on demand and have interest applied at 6.97% on £16,064,019 and 4.00% on £5,392,485. All remaining balances are interest free.

18. Current asset investments

	2024 £	*2023* *£*
Short term investments	11,279,750	-

Short term investments relate to fixed deposit held with a bank with an average maturity of 7 months. The average interest rate is 4.85%.

19. Cash and cash equivalents

	2024 £	*2023 £*
Cash at bank and in hand	12,272,577	*12,952,485*
Short term deposits	-	*22,066,909*
	12,272,577	*35,019,394*

In 2023, the short-term deposits related to fixed deposits held with a bank with a maturity of 1 month. The average interest rate was 3.78%.

20. Creditors: Amounts falling due within one year

	2024 £	*2023 £*
Loans from directors	13,500	*13,500*
Other loans	16,420	*16,420*
Trade creditors	4,560,708	*6,611,225*
Amounts owed to group undertakings	45,054,796	*50,007,585*
Other taxation and social security	2,353,068	*4,105,205*
Other creditors	78,598	*26,682*
Accruals and deferred income	4,321,149	*4,503,405*
	56,398,239	*65,284,022*

Amounts owed to group undertakings are unsecured, interest free and repayable on demand.

21. Loans

Analysis of the maturity of loans is given below:

	2024 £	*2023* *£*
Amounts falling due within one year		
Amounts owed to directors	**13,500**	*13,500*
Other loans	**16,420**	*16,420*
	29,920	*29,920*

Amounts owed to directors loan - The loan is unsecured and no interest is charged, as it is repayable on demand.

Other loans - The loan is unsecured and no interest is charged, as it is repayable on demand.

22. Deferred taxation

	2024 £	*2023* *£*
At beginning of year	1,251,050	*418,316*
Charged to profit or loss	100,377	*832,734*
Other movements	(178,830)	*-*
Deferred tax asset at end of year	1,172,597	*1,251,050*

The deferred tax (asset) is made up as follows:

	2024 £	*2023* *£*
Fixed asset timing differences	312,958	*673,415*
Short-term timing differences	(1,241,781)	*(783,993)*
Losses and other deductions	-	*(1,054,250)*
Research & development credit	-	*(86,222)*
Adjustment to brought forward	(243,774)	*-*
	(1,172,597)	*(1,251,050)*

Fixed asset timing differences are expected to reverse in line with each corresponding fixed asset class and the classes depreciation rates, as noted in the accounting policies.

Short-term timing differences are expected to reverse over the next 12 months.

Losses and other deductions will continue to be utilised as future profits arise from the Company's ordinary course of business.

23. Provision for other liabilities

	Provision for legal and professional fees £	Provision for tax matters £	Provision for dilapidation expenses £	Total £
Additions dealt with in profit or loss	41,798	1,687	379,000	422,485
At 31 March 2024	41,798	1,687	379,000	422,485

Provision for legal and professional fees
The Company has recognised a provision, amounting to £41,798 as of 31 March 2024, in respect of charges from German local authorities relating to local packaging regulations.

Provision for tax matters
The Company has recognised a provision for historical VAT balances amounting to £1,687 as of 31 March 2024. This provision reflects estimated obligations arising from potential adjustments related to VAT filings in prior periods.

Provision for dilapidation provisions
The Company has recognised a dilapidation provision amounting to £379,000 as of 31 March 2024 for our distribution facility and warehouse located in Nuneaton, in accordance with its lease obligation to return the premises to their original condition. This provision is based on an assessment of likely costs, including repairs, reinstatements, and any necessary refurbishments.

24. Share capital

	2024 £	*2023* *£*
Allotted, called up and fully paid		
3,625 Ordinary shares of £0.0001 each	0.36	*0.36*
1,283 B Ordinary shares of £0.0001 each	0.13	*0.13*
1,157 B2 Ordinary shares of £0.0001 each	0.12	*0.12*
1,886 C Ordinary shares of £0.0001 each	0.19	*0.19*
2,049 D Ordinary shares of £0.0001 each	0.20	*0.20*
	1.00	*1.00*

Each Ordinary share has one vote per share. Regarding dividends, the Ordinary shares rank pari passu with the B Ordinary shares, the B2 Ordinary share and the C Ordinary shares. The B, B2, C and D Ordinary shares will automatically convert into Ordinary shares immediately upon the occurrence of an IPO.

25. Reserves

Share premium account

The share premium account is used to record the aggregate amount or value of premiums paid when the Company's shares are issued at an amount in excess of nominal value.

Profit and loss account

This reserve relates to the cumulative retained earnings less amounts distributed to shareholders.

26. Share-based payments

The Company participates in an equity-settled share-based scheme operated by Bloom and Wild Holdings Limited for directors and employees. Selected directors and employees are eligible to participate in the long-term incentive scheme, the vesting condition being that the individual remains an employee of the Company over the 3-4 year vesting period.

Details of the number of share options and the weighted average exercise price outstanding during the year are as follows:

	Weighted average exercise price (pence) 2024	**Number 2024**	*Weighted average exercise price (pence) 2023*	*Number 2023*
Outstanding at the beginning of the year	**85.56**	**35,989**	*148.37*	*31,611*
Granted during the year	**0.01**	**5,821**	*0.01*	*8,429*
Forfeited during the year	**37.33**	**(4,477)**	*0.01*	-
Exercised during the year	**108.08**	**(786)**	*64.99*	*(4,051)*
Outstanding at the end of the year	**28.86**	**36,547**	*85.56*	*35,989*

The fair values were calculated using the Black Scholes pricing Model. The inputs into the model were volatility of 100% (2023 - 100%) a risk-free rate of 5.25% (2023 - 5.25%) and years to maturity of 4 (2023 - 4). The charge included within the financial statements for the share options for the year ended March 24 was £1,910,801 (2023 - £1,722,555).

27. Contingent liabilities

In October 2022, one of the group companies, Bloom and Wild Midco 2 Limited entered into a new senior facility agreement. The credit facility totalled £22,500,000 and interest on this loan is charged at 9% on £10m and 10.5% on £12.5m. The loan is secured against the assets of Bloom and Wild Limited.

28. Pension commitments

The Company operates a defined contribution pension scheme. The assets of the scheme are held separately from those of the Company in an independently administered fund. The pension cost charge represents contributions payable by the Group to the fund and amounted to £223,291 *(2023 - £215,609)*. Contributions totalling £121,157 *(2023 - £48,600)* were payable to the fund at the reporting date.

29. Commitments under operating leases

At 31 March the Company had future minimum lease payments due under non-cancellable operating leases for each of the following periods:

	2024 £	*2023* *£*
Not later than 1 year	**691,751**	*571,260*
Later than 1 year and not later than 5 years	**2,552,476**	*241,500*
	3,244,227	*812,760*

30. Related party transactions

The Company has taken advantage of the exemption in FRS 102 Section 33.1A to not disclose transactions with wholly owned group entities.

External loan guarantor

Bloom and Wild limited is a guarantor for Bloom and Wild Midco 2 limited's loan during the year, see note 27.

Loans to directors

At the year end, £13,500 *(2023 - £13,500)* was owed to directors.

The loan is unsecured and no interest is charged, as it is repayable on demand.

31. Controlling party

The immediate parent undertaking is Bloom and Wild Midco 2 Limited, a company registered in England and Wales.

The ultimate parent undertaking is Bloom and Wild Holdings Limited, a company registered in England and Wales.

The smallest and largest group of undertakings for which group accounts for the period ending 31 March 2024 have been drawn up, is that headed by Bloom and Wild Holdings Limited. The registered office address of Bloom and Wild Holdings Limited is Unit W.301 1-45 Durham Street, London, SE11 5JH. Copies of the group accounts are available from Companies House.

The directors do not consider there to be an ultimate controlling party.